

GRI vs IFRS S1/S2

Two frameworks, two different questions — a one-page comparison

GRI and IFRS S1/S2 are not competing versions of the same standard. They are answers to two different questions: GRI asks what effect a company has on the world; IFRS S1 and S2 ask what effect the world's sustainability and climate risks could have on the company.

GRI — Impact on the World	IFRS S1/S2 — Impact on the Company
CORE QUESTION What significant impact does the company have on people, the environment, and the economy?	CORE QUESTION Could this issue reasonably affect the company's cash flows, financing, or prospects?
MATERIALITY TEST Impact materiality — significance of the company's effect on people, environment, or economy, regardless of financial consequence.	MATERIALITY TEST Financial materiality — could this reasonably influence the decisions of investors, lenders, or creditors?
WRITTEN FOR Stakeholders broadly — communities, employees, regulators, civil society, and investors.	WRITTEN FOR Investors, lenders, and creditors making capital-allocation decisions.
EXAMPLE: FACTORY WASTEWATER Did the ecosystem suffer? Did fish populations drop? Did nearby communities lose access to clean water?	EXAMPLE: FACTORY WASTEWATER Will there be a fine, a lawsuit, or lost customers? Does this touch cash flow or financing?

GRI's Three Layers

1. Universal Standards • Apply to every company, any industry • Foundational reporting rules, general disclosures, and how materiality is determined	2. Sector Standards • Written for specific industries (oil & gas, agriculture, etc.) • Reflect that different sectors create different impacts	3. Topic Standards • Individual subjects — energy, water, human rights, anti-corruption • Report only against topics that are material to you
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The Four Questions Under Every IFRS S1/S2 Disclosure

1 Governance	2 Strategy	3 Risk Management	4 Metrics & Targets
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Where They Overlap — and Where They Don't

Climate change is typically material under both frameworks at once. A factory's effect on a local ecosystem may be significant under GRI with no financial consequence, so it may not clear the bar under IFRS S1. An asset becoming obsolete due to the low-carbon transition can be a real impairment risk under IFRS S1/S2 without necessarily standing out under GRI's impact lens. Same company, same facts — different outcomes depending on the lens.